SilicaFlux.ai

Corporate Bitcoin Treasury Policy & Founding Resolution

Effective Date: 28/05/2026
Version: 1.0

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1. Purpose

This document establishes the foundational policy for the management of a corporate treasury in Bitcoin by **SilicaFlux.ai** ("the Company").

The purpose of maintaining a Bitcoin treasury reserve is to:

- Preserve long-term purchasing power in a digitally native, non-sovereign monetary asset
- Diversify corporate treasury holdings beyond traditional fiat currency exposure
- Align with the Company's strategic focus on artificial intelligence, computational infrastructure, advanced software systems, and digital capital markets
- Enable optional future use of Bitcoin for global settlement, treasury flexibility, and cross-border operational resilience

SilicaFlux.ai recognizes Bitcoin as an emerging reserve asset within an increasingly digital and computationally integrated economic environment.

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2. Treasury Mandate

SilicaFlux.ai hereby authorizes the establishment of a Bitcoin-denominated corporate treasury reserve as part of its broader capital allocation and treasury management strategy.

The treasury shall operate under the following principles:

Capital Preservation First

The primary objective shall be long-term preservation of corporate purchasing power.

Security by Design

Treasury systems shall prioritize institutional-grade security, redundancy, and resilient custody architecture.

Strategic Reserve Discipline

Bitcoin holdings are to be treated as long-term strategic reserves rather than speculative trading positions.

Transparency & Auditability

Treasury holdings shall remain internally auditable and verifiable through secure reporting practices.

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3. Treasury Allocation Policy

The Company may allocate capital to Bitcoin under the following framework:

- **Initial Allocation:** Determined through founding or board resolution
- **Ongoing Allocation Range:** Up to a board-approved percentage of liquid corporate reserves
- **Periodic Rebalancing:** Permitted only through formal treasury authorization procedures

No leverage, derivatives, synthetic instruments, or speculative borrowing arrangements shall be employed without explicit board approval.

The treasury mandate prioritizes conservative reserve management over short-term market exposure.

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4. Custody & Security Framework

4.1 Custody Structure

Bitcoin reserves shall be maintained through a multi-layer institutional custody framework, including:

- Cold storage (offline private key custody)
- Multi-signature wallet structures requiring **2-of-3** or **3-of-5** authorization approval thresholds
- Segregation of operational liquidity wallets from long-term reserve wallets

4.2 Security Standards

The following standards shall apply:

- Private keys shall never be stored in plaintext on internet-connected systems
- Hardware wallets or hardware security modules (HSMs) shall be utilized for transaction authorization
- Treasury access shall be restricted through role-based authorization systems
- Geographic distribution of key shares is recommended to improve operational resilience and disaster recovery capabilities

4.3 Treasury Wallet Designation

The Company designates the following Bitcoin address as a public treasury receiving address for capital contributions, reserve allocations, or internal treasury transfers:

Treasury Address (BTC):
`bc1q0qpaxk9rmqt54fm7u8nej7d8ax5s3575rc0ryx`

Note: Treasury addresses may be rotated, replaced, or restructured as part of evolving custody architecture, subject to formal internal recordkeeping.

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5. Governance Structure

5.1 Treasury Authority

Strategic oversight and operational control of the Bitcoin treasury shall be exercised by:

- Chief Executive Officer (CEO)
- Chief Financial Officer (CFO) or equivalent financial authority
- Treasury Committee (where established)

5.2 Approval Requirements

Formal authorization shall be required for:

- Acquisition or disposal of Bitcoin exceeding internally defined thresholds
- Material changes in custody infrastructure
- Transfers between long-term cold storage and operational liquidity wallets
- Use of treasury Bitcoin for operational expenditures or financing activities

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6. Accounting & Reporting

SilicaFlux.ai shall:

- Record Bitcoin holdings as corporate balance sheet assets
- Maintain acquisition cost basis records for treasury accounting purposes
- Monitor unrealized gains and losses in accordance with applicable accounting frameworks, including **IFRS** or **UK GAAP**, where relevant
- Conduct internal treasury reconciliation no less than quarterly

External audits may be commissioned at board discretion or regulatory necessity.

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7. Risk Management Policy

The Company recognizes the following principal risks associated with digital reserve assets:

- Market volatility risk
- Custody and key management risk
- Regulatory and jurisdictional uncertainty
- Liquidity limitations during extreme market conditions

Risk mitigation measures may include:

- Distributed custody arrangements
- Conservative treasury allocation thresholds
- Multi-signature authorization protocols
- Periodic internal security reviews and systems testing

Treasury risk shall be managed with an emphasis on resilience, continuity, and preservation of long-term capital integrity.

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8. Compliance & Legal Considerations

SilicaFlux.ai shall comply with all applicable legal and regulatory obligations within its jurisdictions of operation, including but not limited to:

- Anti-money laundering (AML) obligations
- Know-your-customer (KYC) requirements where applicable
- Tax reporting requirements for digital assets
- Corporate governance and disclosure obligations

Bitcoin treasury holdings shall be treated as corporate property and remain subject to fiduciary obligations owed by directors and authorized officers.

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9. Strategic Rationale Statement

SilicaFlux.ai adopts Bitcoin as a treasury reserve asset in recognition of:

- The emergence of digitally native monetary systems
- The growing importance of decentralized financial infrastructure
- The need for globally portable, censorship-resistant reserve capital within AI-driven and computationally intensive markets
- The increasing convergence between software systems, digital infrastructure, and programmable finance

The Company views Bitcoin not merely as an asset, but as a strategic reserve instrument suited to an increasingly computational global economy.

This policy is intended to evolve as technological, financial, and regulatory environments mature.

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10. Amendment Clause

This document may be amended only through:

- Formal board resolution; or
- Unanimous consent of authorized treasury signatories, where delegated authority exists

All amendments shall be documented, version-controlled, and retained within Company governance records.

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11. Founding Resolution

By adoption of this document, **SilicaFlux.ai** formally establishes a Bitcoin treasury framework as a permanent component of its corporate financial architecture and long-term capital strategy.

The Company affirms its commitment to prudent stewardship, technological resilience, and disciplined treasury management in an increasingly digital economic environment.